

Fund Manager Radar

Know when to walk away, and know when to run...

- Defensives: Know when to walk away** – After a long stretch as the the most favoured segment, managers are retreating from the defensive complex. Aggregating the active flows across Communications, Staples and Healthcare, the average manager stripped out roughly **59bp of combined defensive active weight** in May. The move was broad rather than idiosyncratic: Communications led the retreat (-30bp), with Healthcare (-11bp) and Staples (-13bp) following in lockstep. Notably, nearly 70% of the managers we track scaled back their Communications and Healthcare positions. The key question is whether this is the opening salvo of a sustained exit from defensives, or a tactical trimming. In our view, there is increasing evidence that it's the former.
- Communications: The sound of silence** - Communications shed 20bp of index weight through the month, and managers mostly followed lower, with the majority of the cohort cutting their holdings. This looks like a deliberate scaling back in the sector: stripping out the benchmark move, c.70% of managers cut their active weight, confirming a genuine retreat rather than a mechanical rebalance. Importantly, the move isn't sector-specific but part of a wider theme of defensive down-weighting as managers rotate into cyclicals and resources. Positioning across the sector remains polarised: the three largest active overweights average +7.9%, against the three deepest underweights at -3.6% – an ~11.5% chasm between conviction longs and the deep UWs. With the marginal flow firmly negative, the key watch-point is whether the conviction holders defend their overweights or capitulate to the broader defensive unwind.
- Materials: 'cause we're living in a material world** – Materials added a striking 230bp of index weight through the month, exerting considerable pressure on managers to keep pace. Remarkably, every fund in our universe raised Materials holdings over the period. This move, however, was overwhelmingly a passive response to the sector's ongoing re-rating rather than a deliberate addition of risk. Stripping out the price effect, only 40% of managers increased their active weight, meaning that the bulk of the cohort used the move to quietly trim relative exposure. Positioning remains acutely skewed: the three largest active overweights sit at an average of **+11.8%**, while the three deepest underweights average **-20.6%** – a ~32% chasm between the conviction longs and the deep UWs. With nearly half of our universe still UW the sector, there is still scope for further catch-up buying should the sector's leadership persist.
- Love Index: ORI takes the crown**- In keeping with the ongoing defensive retreat, we noted in April that TLS dropped out of 'loved' for the first time in several years, with other safe-haven names also slipping a tier, including SIG and CSL. On the cyclical side, ORI claims the 'most loved' crown for the first time, while IAG and QBE also moved into 'loved' territory. Among other notable movers, MQG climbed out of unloved into neutral in May. Three stocks slid into unloved: CPU, LYC and ORG.

Australia

Australia Equity Strategy

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Performance of Love Index movers

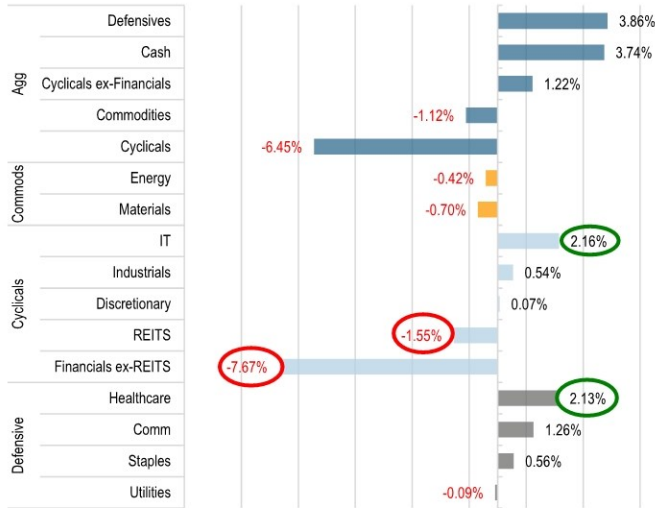
STOCK	May-26 REL	3M REL
POSITIVE MOVERS		
CBA	-5.7%	-5.4%
GMG	6.3%	23.1%
IAG	1.2%	0.6%
MQG	0.7%	16.4%
ORI	8.2%	9.6%
QBE	0.6%	2.9%
TLC	-2.6%	-2.3%
WDS	-9.4%	-16.1%
XRO	-6.8%	3.4%
NEGATIVE MOVERS		
ALL	5.2%	8.6%
BHP	15.2%	20.4%
CPU	13.9%	21.5%
CSL	-23.1%	-34.6%
JHX	8.9%	19.0%
LYC	0.2%	-5.9%
MPL	1.6%	6.4%
ORG	-10.9%	-16.6%
SGP	0.5%	-7.6%
SIG	4.6%	7.3%

Source: J.P. Morgan, Fund fact sheets, Bloomberg Finance L.P. *Relative performance to ASX200. Note: Past performance is not an indicator of future results.

Charting the focal points

Figure 1: Current sector allocation (May-26)

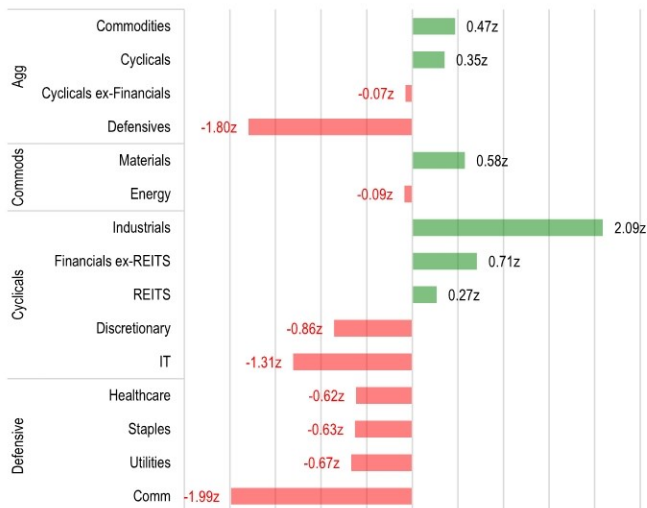
At the end of May-26, the largest OW positions were in Tech and Healthcare. Financials and REITs remain the deepest UWs.



Source: Fund factsheets.

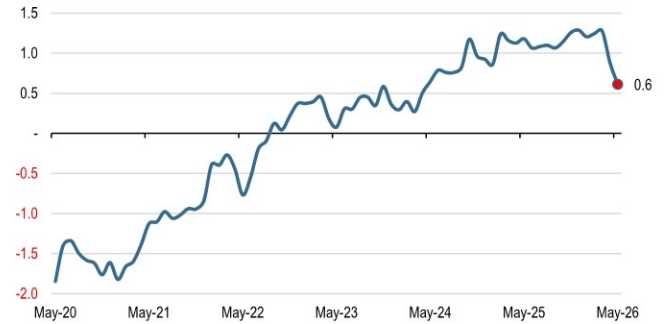
Figure 2: Sector allocation | MoM active change versus 7Y avg | Z-Score

The scale back in Communications in May hit nearly 2z. Along with downweightings in Staples, Healthcare and Utilities, this saw a 1.8z narrowing in the Defensives OW.



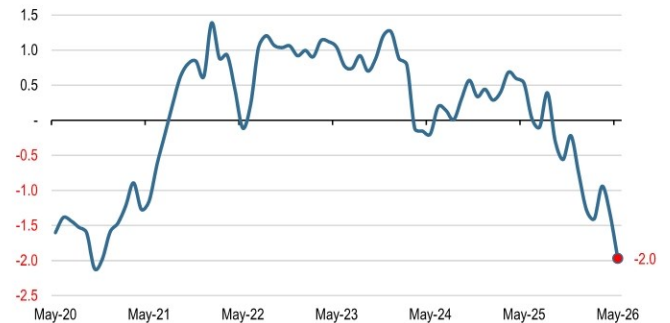
Source: Fund factsheets.

Figure 3: Defensives | Active weight deviation to 6Y avg.



Source: Fund factsheets.

Figure 4: Communications | Active weight deviation to 6Y avg.



Source: Fund factsheets.

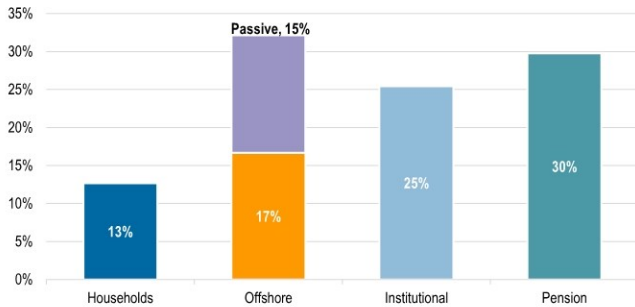
Figure 5: REITs | Active weight deviation to 6Y avg.



Source: Fund factsheets.

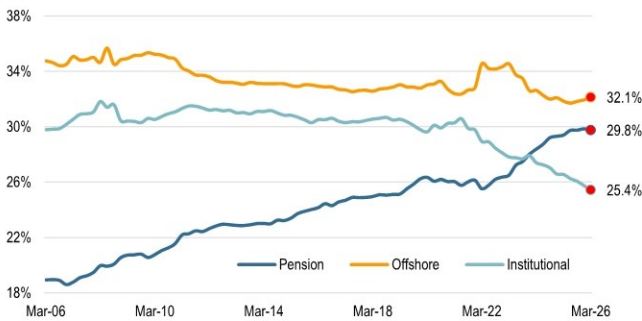
Equity ownership | Mar-26

Figure 6: All Ords | Investor composition | Mar-26



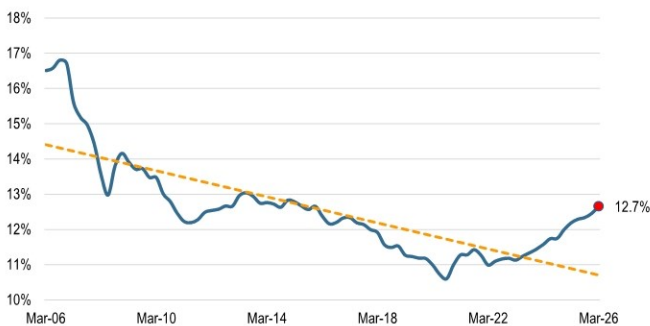
Source: ABS, Bloomberg Finance L.P.

Figure 7: Pension, Offshore and Institutional | Share of ASX All Ords



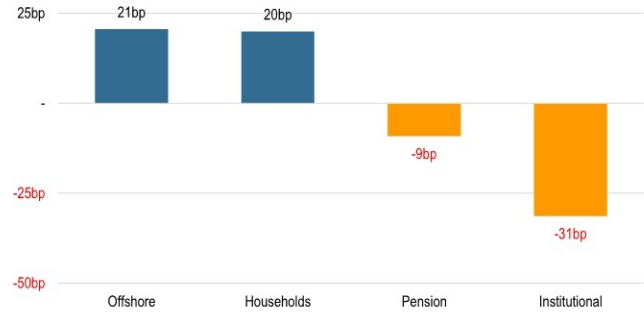
Source: ABS.

Figure 8: Households | Share of ASX All Ords



Source: ABS.

Figure 9: All Ords | 3M to Mar-26 change in ownership share



Source: ABS.

Figure 10: ADI Ownership % | Pension



Source: ABS, Bloomberg Finance L.P.

Figure 11: ADI Ownership % | Institutional



Source: ABS, Bloomberg Finance L.P.

Debate & Divergence

In this month's edition of *Debate & Divergence*, we have scoured manager commentaries to gather insights into the following themes: (i) The Federal Budget: CGT / negative gearing and housing and (ii) The AI capex cycle and resources.

The Federal Budget: CGT / negative gearing and housing

The Budget's changes to capital gains tax and negative gearing dominated domestic commentary, linked to downward pressure on house prices, weaker bank credit growth and a rotation away from financials. Several managers argued the second-round effects were underestimated.

- "The federal budget introduced significant changes to capital gains tax and negative gearing arrangements from July 2027, generating sector rotation and weighing on bank sentiment."
- "Changes to negative gearing and the CGT discount has the potential to reshape the relative attractiveness of different asset classes and investment structures. In an after-tax framework, high-yielding, fully franked dividend payers may attract greater investor focus."
- "Chalmers' fifth budget was one of redistribution – heavy on reform but light on nearterm fiscal impact. Changes to capital gains tax and negative gearing took the spotlight, however most of the key changes were already leaked beforehand and largely priced in."
- "Each of these policies is expected to reduce the attractiveness of property as an asset class and consequently, reduce house prices, housing churn and by extension, credit growth."
- "Proposed changes to negative gearing and the capital gains tax discount, together with a minimum 30% tax on trusts, are expected to weigh on investor demand for existing residential property in the short term and could reduce the relative appeal of growth assets versus higher-yielding ones, with implications for risk-taking more broadly."

The AI capex cycle and resources

Managers broadly framed the Resources rally - and particularly copper - as the local market's proxy for the global AI build-out and electrification, rather than a traditional commodity-cycle move.

- "The global AI investment cycle continues to drive a substantial capex wave, with Australian companies remaining leveraged through copper and critical minerals demand, data-centre build-out and the capital-goods complex supplying the picks and shovels."
- "In Australia, enthusiasm for the AI thematic has been expressed primarily through resource stocks supplying raw materials like copper, aluminium and lithium, as well as selected capital goods and technology companies. The Materials sector was the strongest performer, led by a 16% gain in BHP."
- "Materials was the standout sector across the ASX in May, rising 10.5% as mining stocks became Australia's primary proxy for the AI investment theme."
- "The rapid expansion of AI infrastructure, the global shift toward cleaner energy and large-scale upgrades to electricity grids are all accelerating demand for key base and bulk metals such as copper, aluminium and lithium."

Figure 12: Top mentions by fund managers

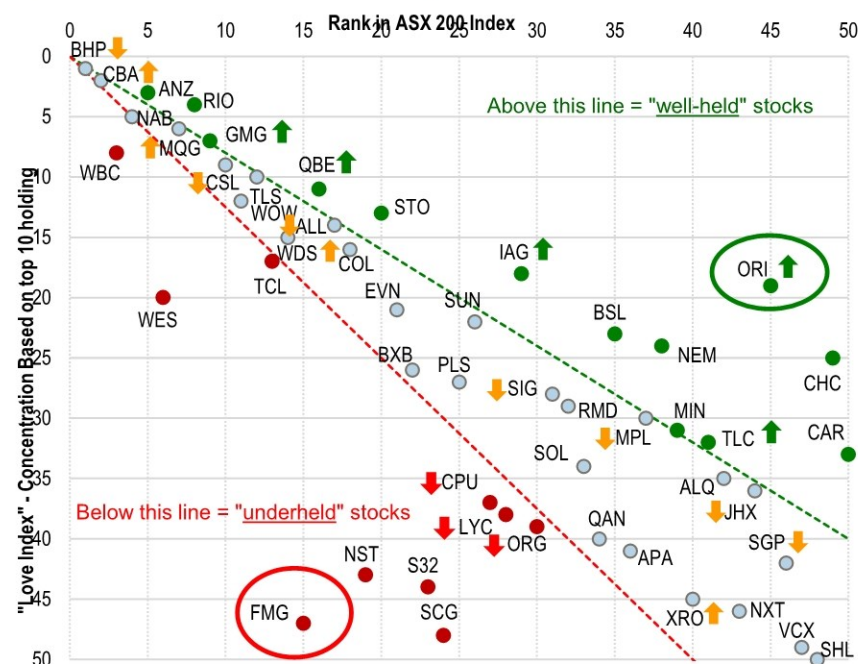


Source: Fund Factsheets, J.P. Morgan.

Love Index

- **Upward momentum** - five stocks moved up to 'loved' territory in May – **GMG, QBE, IAG, TLC and ORI**. Four stocks - **CBA, MQG, WDS and XRO**- moved into Neutral from underheld.
- **Downward momentum** - seven stocks dropped out of 'loved' –**BHP, CSL, ALL, MPL, JHX, SGP and SIG**. Additionally, three stocks fell into “underheld” – **ORG, LYC and CPU**.
- **Most and Least Loved** - **ORI** is the ‘most loved’, while **FMG** remains the ‘least loved’.

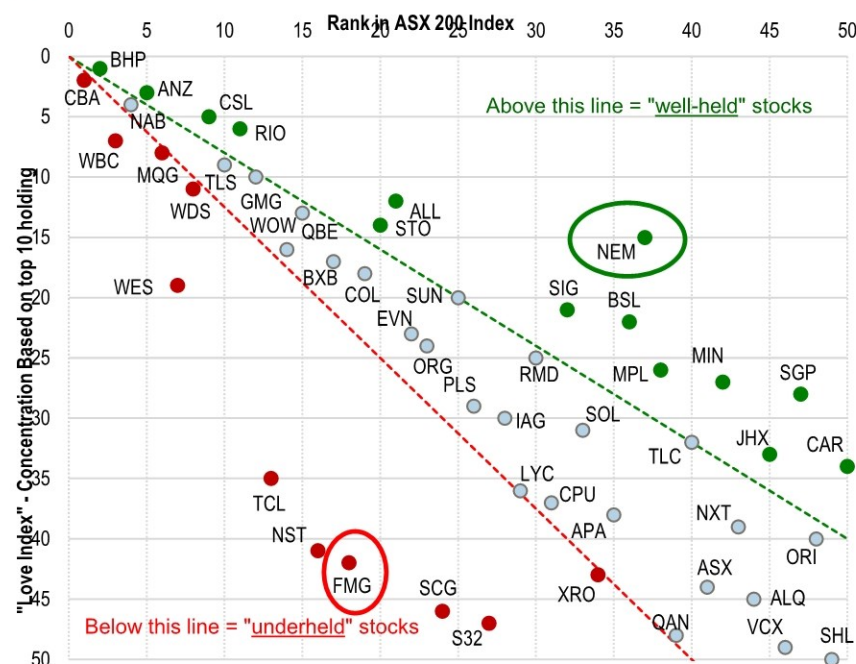
Figure 13: JPM Love Index vs ASX Rank – May-26



Source: J.P. Morgan calculations, Fund fact sheets, Bloomberg Finance L.P. Top 50 stocks in ASX 200 as at 31 May 2026.
Appendix – Methodology

Figure 13 plots the Top 50 stocks in the ASX 200 (x-axis) against their respective ranking in our “Love Index” (y-axis) as at the end of May.

Figure 14: JPM Love Index vs ASX Rank – Apr-26

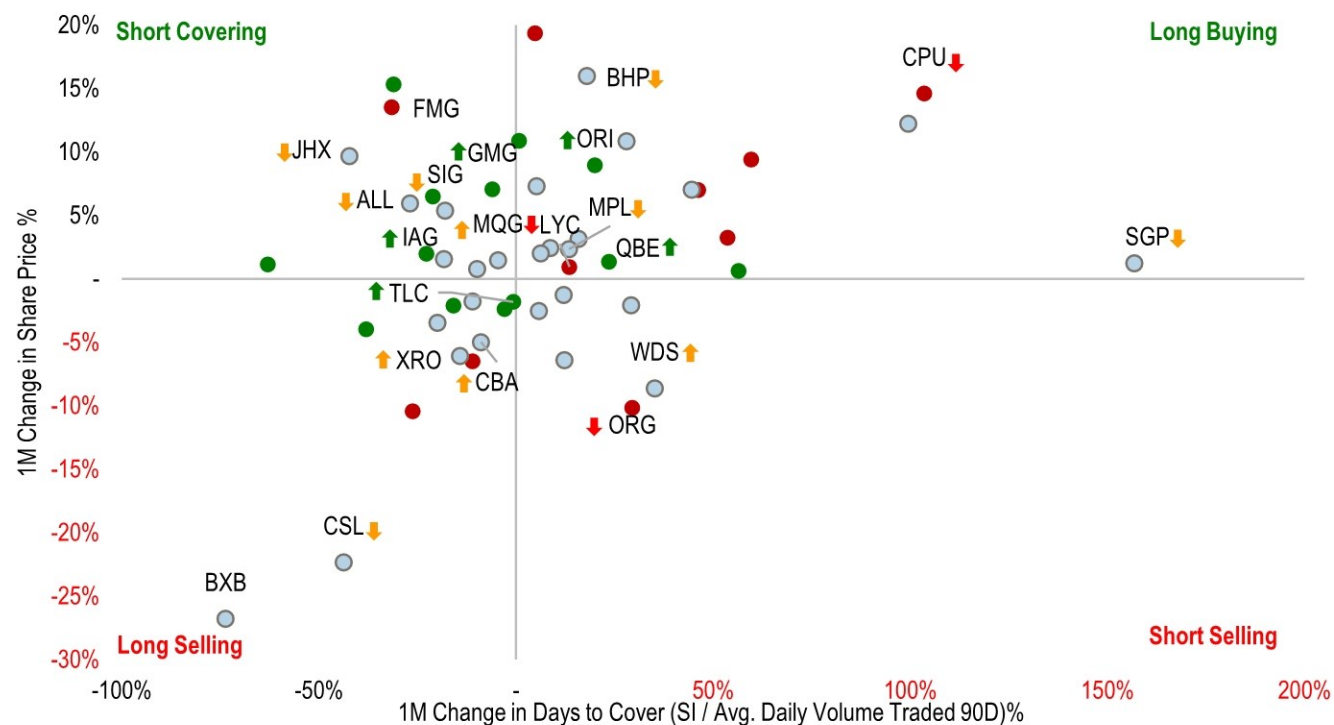


Source: J.P. Morgan calculations, Fund fact sheets, Bloomberg Finance L.P. Top 50 stocks in ASX 200 as at 30 Apr 2026.
Appendix – Methodology

Short Interest Monitor

Figure 15 plots the change in days-to-cover (x-axis) of the top 50 stocks against their respective share price performance (y-axis) over the month of May. During the month, **SGP** saw the largest increase in days-to-cover (+156.9%), with the share price rising 1.2%. At the other end of the spectrum, **BXB** saw the largest fall in days-to-cover (-73.6%), with the share price falling 26.8%.

Figure 15: Top 50 | Change in Days-to-Cover (DTC) vs Share Price Performance | 30-Apr-26 to 31-May-26



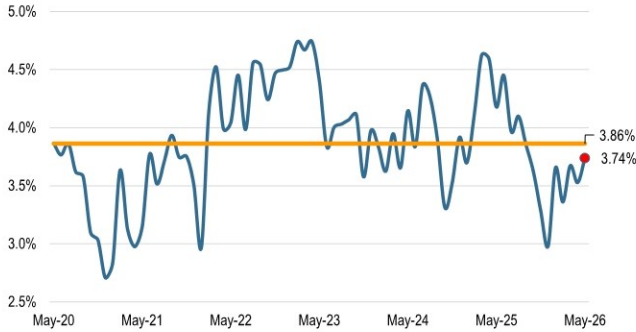
Source: J.P. Morgan calculations, Bloomberg Finance L.P.

Note 1: Green markers indicate 'well-held' stocks, yellow markers indicate 'neutral' stocks, and red markers indicate 'underheld' stocks. Arrows represent movement in the Love Index.

Note 2: Data labels only for Love Index movers and the stocks with the largest increase/decrease in days to cover.

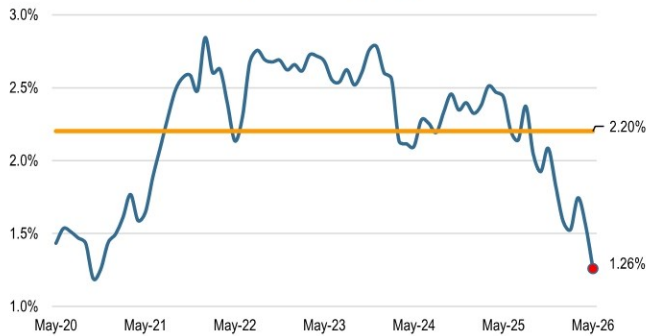
Sector trends

Figure 16: Cash | Active weight (%)



Source: Fund fact sheets.

Figure 17: Communication | Active weight (%)



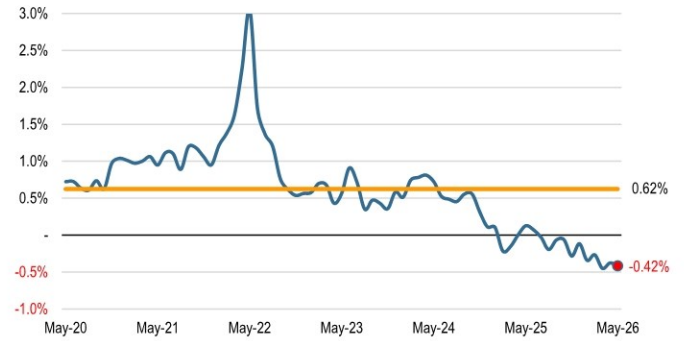
Source: Fund fact sheets.

Figure 18: Discretionary | Active weight (%)



Source: Fund fact sheets.

Figure 19: Energy | Active weight (%)



Source: Fund fact sheets.

Figure 20: Financials | Active weight (%)



Source: Fund fact sheets.

Figure 21: Healthcare | Active weight (%)



Source: Fund fact sheets.

Sector trends

Figure 22: Industrials | Active weight (%)

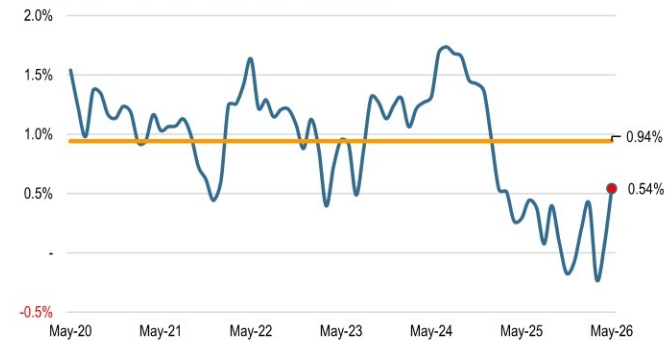


Figure 23: Information Technology | Active weight (%)

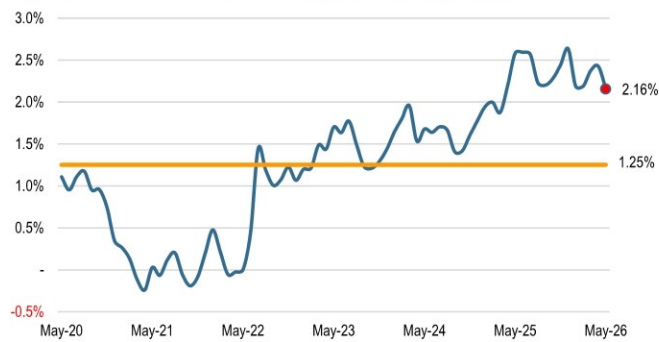


Figure 24: Materials | Active weight (%)



Figure 25: REITS | Active weight (%)

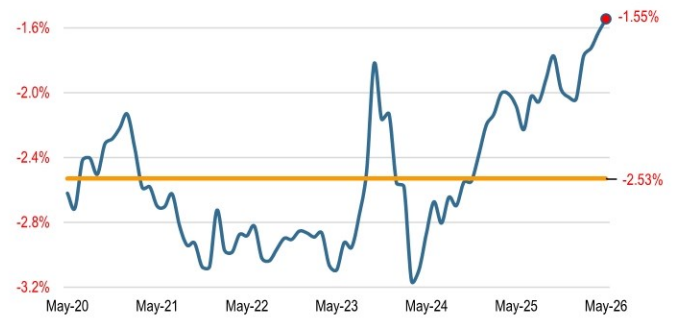


Figure 26: Staples | Active weight (%)

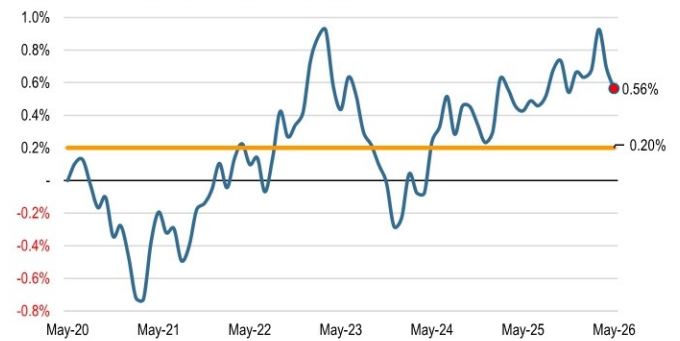
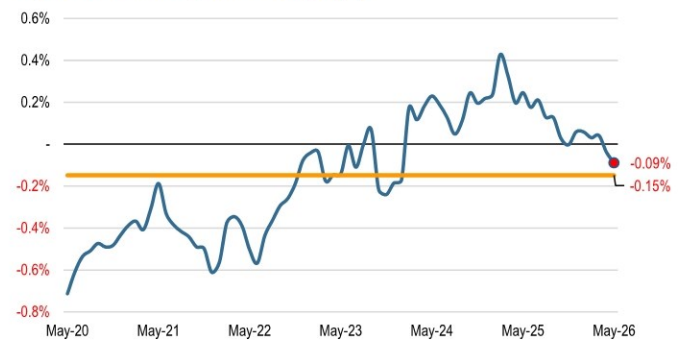


Figure 27: Utilities | Active weight (%)



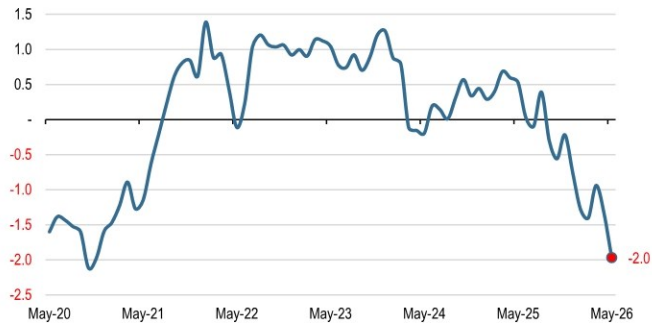
Sector trends (z-scores)

Figure 28: Cash | Active weight deviation to 6Y avg.



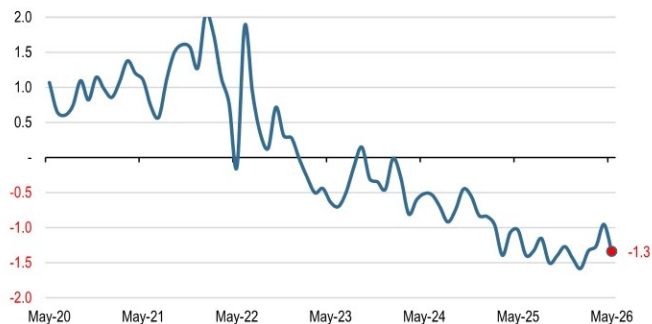
Source: Fund fact sheets.

Figure 29: Communications | Active weight deviation to 6Y avg.



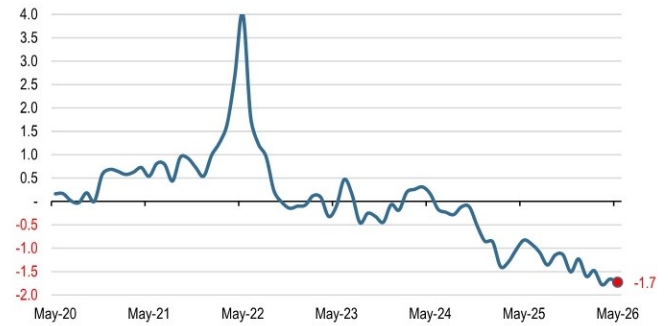
Source: Fund fact sheets.

Figure 30: Discretionary | Active weight deviation to 6Y avg.



Source: Fund fact sheets.

Figure 31: Energy | Active weight deviation to 6Y avg.



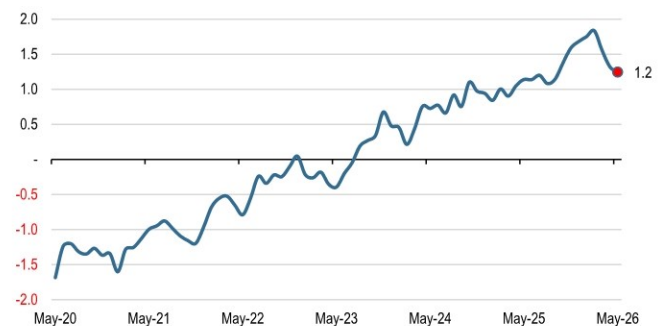
Source: Fund fact sheets.

Figure 32: Financials | Active weight deviation to 6Y avg.



Source: Fund fact sheets.

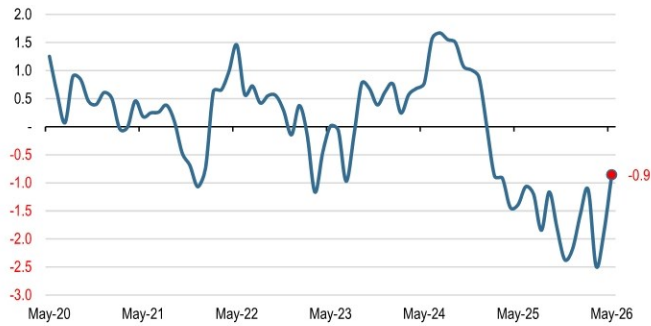
Figure 33: Healthcare | Active weight deviation to 6Y avg.



Source: Fund fact sheets.

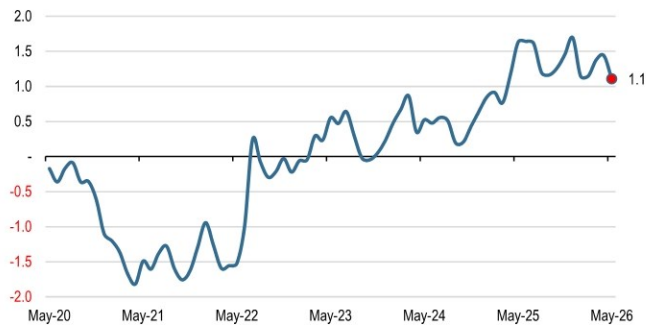
Sector trends (z-scores)

Figure 34: Industrials | Active weight deviation to 6Y avg.



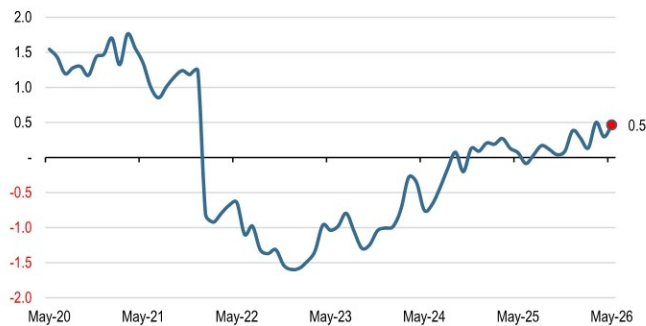
Source: Fund fact sheets.

Figure 35: Information Technology | Active weight deviation to 6Y avg.



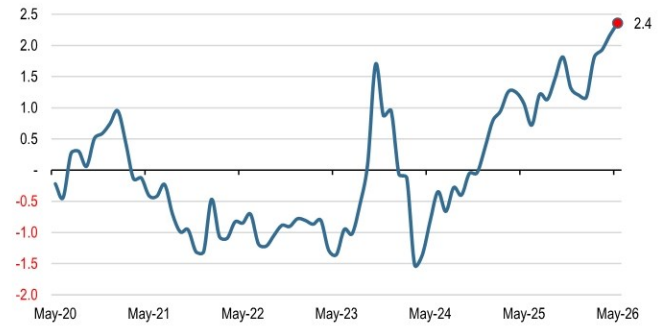
Source: Fund fact sheets.

Figure 36: Materials | Active weight deviation to 6Y avg.



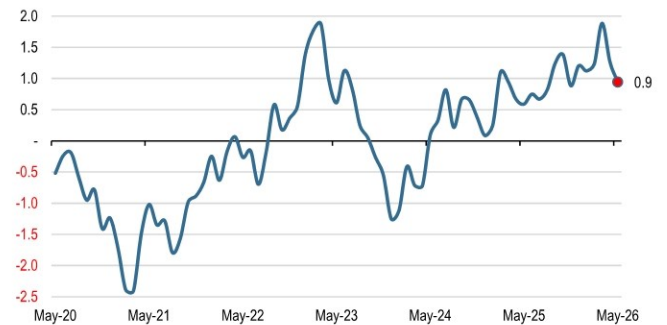
Source: Fund fact sheets.

Figure 37: REITS | Active weight deviation to 6Y avg.



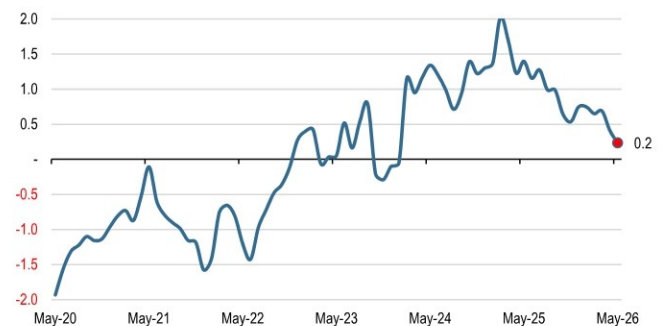
Source: Fund fact sheets.

Figure 38: Staples | Active weight deviation to 6Y avg.



Source: Fund fact sheets.

Figure 39: Utilities | Active weight deviation to 6Y avg.



Source: Fund fact sheets.

Appendix – Methodology

Sector positioning

For the purposes of assessing consensus positioning in each of the 11 GICS sectors, we gather data from 55 funds that together represent a meaningful proportion of assets under management in Australia. Our methodology is as follows:

- Fund weights in each of the GICS sectors are tracked on a monthly basis. Based on the sector composition of the respective benchmark, we calculate the *active* holding of the fund in each sector; i.e. fund weight in sector minus weight in benchmark.
- Active sector weights are then aggregated (average) across the universe of 55 funds, which gives us the average active holdings of funds in a particular sector.

Fund performance

- We track the performance of each fund in our universe using **month end NAV sourced from Bloomberg Finance L.P.** Note that we quote relative performance, hence each fund's performance is tracked relative to its respective benchmark.
- We then **aggregate MoM changes in NAV to find the average** outperformance or underperformance of the group during a particular month.
- **Each of the funds is characterized based on its strategy** – i.e. Growth, Hedge, Value. We use this categorization to find the average performance across styles.

Stock positioning

For the purposes of assessing consensus positioning in stocks, we gather the disclosed stock holdings (which are either the top 5 or top 10 holdings) from 55 funds. We calculate the active stock holding, the stock concentration and the Love Index using this data.

- **Active stock weight** – The active stock weighting is calculated by the stock weight in the fund minus the stock's weight in benchmark, i.e. an 11.2% fund holding in BHP represents an overweight (OW) position of 1.0 (vs ASX 200 weighting of 10.2%).
- **Stock concentration/proportion of top stocks** – Stock positions are aggregated across the universe of 55 funds. Based on this aggregation, we calculate the percentage of funds in our universe that hold a particular stock; i.e. 70% of the 55 funds we track disclose a holding in BHP.

Love Index

- **ASX 200 Ranking** – We take the top 50 stocks in the ASX 200 as at a particular day, i.e. 31 December 2022.
- **Love Index Ranking** – We rank the top 50 stocks in terms of concentration in our data, i.e. BHP receives a rank of 1 as it has the largest number of funds that disclose a holding in the top 5 or top 10 holdings.
- **Love Index Ranking** – We compare the ASX 200 ranking with the Love Index ranking (1=highest rank, 50=lowest rank). If the FMR Love Index ranking is greater (closer to 1) than the ASX 200 ranking, then the stock is “well-held” vs the index. If the FMR Love Index ranking is weaker (closer to 50) than the ASX 200 ranking, then the stock is “under-held” vs the index. If the rankings are equal, then positioning is neutral. i.e. only one fund discloses a holding in FMG, so FMG receives the weakest Love Index rank of 50. It is the 15th largest stock in the ASX 200 and is therefore “under-held” vs the index. Conversely, 33 funds disclose a holding in BHP, giving it top rank of 1. It is also the largest stock in the ASX 200, giving it an ASX 200 rank of 1 and its positioning is therefore “neutral”.
- Red arrows represent moves into “under-held”, orange a move into “neutral territory” and green a move into “well-held”. Double arrows represent a two-rung move. The green star represents the “most-loved” stock in our index, with the red circle the “least-loved”.

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